SUNDERLY PRESS | BOARD APPROVAL

Bellwold Works lease renewal • 25 August 2026

Decision requested. Approve Priya Mortensen's staged authority to negotiate with Ridgeway Clinic through the final-authority case: up to 9 years, CAD 1,320,000 starting rent, CPI 2.75% with a 3.00% cap, and 50% tax share, while preserving the transfer protections below. No term is agreed until a signed amendment.

Why now. The lease expires 17 June 2028 and Ridgeway has proposed 11 years, CAD 1,428,000 (19% uplift), annual CPI at 0% floor/4% cap, 65% tax share, sole-discretion assignment consent with recapture, and deemed assignment on any change of control.

Authority ladder.

Stage	Economics	Exchange / holdback
Opening	5y • $1.200m • CPI 1.50% cap 2.00% • tax 40%	Current-lease transfer rights; seek dependable renewal
Target	7y • $1.260m • CPI 2.00% cap 2.75% • tax 45%	Only for term certainty and improved transfer/rail language
Final authority	9y • $1.320m • CPI 2.75% cap 3.00% • tax 50%	No sole discretion, recapture or deemed assignment; board ceiling

Economic range (first 12 months / first five renewal years)

Case	First 12 months	5-year total
Approved baseline	$1,428,932	$7,463,297
Ridgeway opening	$1,790,871	$9,373,071
Sunderly opening	$1,417,359	$7,275,647
Target	$1,509,302	$7,812,298
Final authority	$1,605,007	$8,412,082

Model note: commencement is 18 June 2028; the 1 July reset occurs 13 days later. Totals prorate the stub and include the scenario tax share on a CAD 500,000 annual tax base. CPI source value 0.0275000000003 is displayed and treated as 2.75%.

RISKS, CONTROLS & RETURN TRIGGERS

Compliance and execution. Northmere OP-4471 is site-specific: continuation notice is due 60 days before expiry, material process changes trigger notice within 30 days, and a move requires reissuance before operations. South Vey governs only the separate EA-19 rail strip: annual notice by 31 January, crossing/drainage maintenance and a three-year log. The qualifying-successor certification exception (20 business days) is rail-only and does not override the premises lease or Ridgeway's private clause.

Operational leverage. The CAD 8.4m installed equipment, site approval and rail arrangements make relocation costly and time-sensitive, but 16 months remain and reissuance is possible; use this as measured leverage, not an impossibility claim.

Confidentiality. Internal rationale: a confidential strategic transaction under consideration requires assignment/change-of-control flexibility; it is not completed, announced or binding. Priya's neutral script is ordinary flexibility for affiliate reorganizations, financing, continuity and future ownership changes, with notice, assumption and reasonable financial capability information. No transaction reference may reach Ridgeway.

Return to board before movement. Rent above CAD 1,320,000; term beyond 9 years; CPI cap above 3.00% or uncapped; tax share above 50%; any recapture right, sole-discretion consent or deemed change-of-control assignment; any requested disclosure of the transaction; or any material change to the rail/operating assumptions.

Board resolution. Approve the ladder and controls, authorize counsel to draft consistent clauses, and require a fresh board decision if a return trigger arises. No Ridgeway concession is pre-agreed.

Prepared for Brigid Sorensen and the Sunderly Press board • Source key: L lease, P proposal, O operations, N Northmere, SV South Vey, A authority/confidentiality, S scenarios. Detailed citations and statuses are in the accompanying Compliance Assessment workbook.